Bocconi

30693
Financial Accounting
(Module 2)

Academic year 2025-2026

Summary

Welcome back! We wish you all the best for the upcoming second semester.

This is the course **Financial Accounting – Module 2, code 30693**, which is the second of two Modules (Financial Accounting Module 1 – 30692 is taught in the first semester).

The average grade of the two exams will be registered in your transcript under the course code 30691 "Financial Accounting".

Please find hereinafter an excerpt of the Syllabus.

Later on, as soon as possible for you, **please read carefully the whole Syllabus**, which is the primary reference for all course information.

Course content (30692 & 30693)

30692	30692 and 30693	30693	30693	30693
Sessions 1 to 8	Sessions 9 to 22, sessions 1 to 5	Sessions 6 to 10	Sessions 11 to 15	Sessions 16 to 23
The foundations of the accounting system. The accounting equation, the "pillars" of accounting (balance sheet, income statement); The periodic and adjusting entries in the double-entry system.	***Accounting and measurement of the main items of the balance sheet and the income statement*** Revenues, receivables, cost of goods sold, inventories, tangible and intangible assets, liabilities and bonds, owners' equity, investments in other corporations, foreign currency transactions and Value Added Tax (VAT).	***Two key topics: taxes and cash flow statement*** The calculation and accounting treatment of income taxes. The preparation of the cash flow statement.	***Financial statements analysis*** Focus on reclassification techniques and interpretation of key financial indicators	***Consolidated F/S*** Preparation of consolidated financial statements: principles and methods.

Please find in the Syllabus the
INTENDED LEARNING OUTCOMES (ILOs)

Classes and instructors

Class	Instructors
12	Scarani – Vincenzi
14	Paris – Wu Y.
15	Neretina – Vincenzi
16	Wu X. – Sintoni
17	Ferrario – Mazzola
18	Scarani – Vincenzi
19	Scarani
40	Demere – Vincenzi
41	Demere – Jamshidnejad
42	Neretina – Fiore
43	Wu X. – Carretta

Course Director: Prof. Luca Simone Scarani

Prerequisites

There are no formal prerequisites to take Accounting 2 exam. You can pass Accounting 2 exam also without passing Accounting 1 exam in a precedent exam session.

Please note/1. You may decide to sit for the exam "Accounting 2" – 30693 and pass it before sitting (and passing) the exam "Accounting 1" – 30692.

Nevertheless, as Accounting 2 is the second part of an exam divided in two (Financial Accounting), please keep in mind that **all the notions you have learnt in Accounting 1 will be asked and will be assumed as known to pass Accounting 2 exam.**

Please note/2: **Accounting 2 is not an intermediate exam**. once Accounting 2 is passed, then the grade is registered in the transcript and is permanent.

Course materials

Course materials (assessed in the exam) are the following:

- BOOK 1: Libby, Libby, Hodge, Financial Accounting, 12th edition (with Connect), McGraw Hill 2025 – ISBN 9781265144913. Purchasing the book, you have:
  - Text
  - Exercises in the book (solutions will be uploaded on Blackboard)
  - Exercises online on McGraw-Hill "eConnect" website and the related solutions
- **BOOK 2: Consolidation: Preparing and understanding consolidated financial statements under IFRS, Galimberti, Marra, Prencipe. McGraw-Hill Education, 2013**
- SLIDES: free for students, available on Blackboard
- EXERCISES (*specific*): a set of exercises for each chapter is uploaded on Blackboard for free. Solutions of exercises will be uploaded after discussion of the review sessions
- EXERCISES (*comprehensive*): other comprehensive exercises and related solutions are uploaded on Blackboard for free

Course materials

The book is also accessible both in Blackboard and here:

https://lib.unibocconi.it/search*ita/?searchtype=r&searcharg=+%09Accounting+and+financial+statement+analysis+-+Module+1&submit=Cerca

Please note: if the link doesn't work, or for any issue concerning the same, do NOT contact your instructors but instead, the Bocconi library.

Note: in Blackboard you will find a section named **"Extra Materials".**

The materials in this folder are **NOT** assessed in the exam.

Course materials

The file "Detailed Content" lists with accuracy the exact materials / pages / slides covered in the course.

This file is uploaded in the folder "Syllabus and quiz/exam info".

COURSE 30692 – FINANCIAL ACCOUNTING - A.Y. 2025/2026

DETAILED CONTENT

The book referred to in this document is the 12th edition of "Financial Accounting" by Libby, Libby, and Hodge.

1) FINANCIAL STATEMENTS AND BUSINESS DECISIONS

- CONTENT COVERED DURING LECTURES
- BOOK
  - All Chapter 1 from page 1 to page 24, excluding:
    - Page 15: Financial Analysis box.
    - Page 18: Why is GAAP important to managers and external users?
    - Page 19-20: What if Numbers Are Wrong + Ethical Conduct
  - All Chapter 1 slides, as uploaded to Blackboard, excluding the following slides: 26, 34, 36-38.
- CONTENT ON BLACKBOARD
  - Materials included in the section "Course Contents"

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2) INVESTING AND FINANCING DECISIONS AND THE ACCOUNTING SYSTEM

- CONTENT COVERED DURING LECTURES
- BOOK
  - All Chapter 2 from page 44 to page 78, excluding:
    - Page 55: Transaction (d)
    - Page 64: Transaction (d)
    - Page 68: Data Analytics box.
    - Page 71-73: Ratio Analysis in Decision Making + Key ratio analysis
    - Page 74: Focus on cash flows
  - All Chapter 2 slides, as uploaded to Blackboard, excluding the following slides: 26, 47, 53, 61-64.

Assessment methods (intro)

All students are graded based on a comprehensive exam (there are no partial exams), which is based on a mix of open questions, closed questions and exercises.

Exam dates are the following:

- 28 May 2026
- 17 June 2026
- 04 September 2026
- February 2027

In the latter session (February 2027), the exam will be on a 30-point-basis. No bonuses. No extra points.

For the other three preceding sessions, please refer to the content of the following slides.

Assessment methods (intro)

Premise. We strongly believe in the importance of a process of **continuous learning.** Therefore, in a nutshell, during the semester the following occurs:

1. During the lectures in class, you will receive a number of questions (the so-called "**In Class Questions", "ICQ"**) for a total of max. 4 points; however, only the first **3 points** will be counted. Any fraction of point above 3 will remain unused.
2. On a specific day, which coincides with one lecture in class, you will perform a real F/S analysis in group with your classmates for a total of **1,5 points**: the **"FSA Game"**.
3. On April 23rd at 8 AM, when you are at home, you will receive in Blackboard a Quiz that totals max. 1,5 points and so you may get a total of max. **1,5 points** as **"Bonus Quiz at home"**.

We believe that the Intended Learning Outcomes can be achieved at the top level ONLY if you actively follow the lectures and continuously study the materials provided. Nevertheless, **you are absolutely free to decide to skip** all these activities and projects.

Then, **when you register to sit for the exam**, you have two alternative options…

Assessment methods

"YES BONUS"

The "Yes Bonus" exam is for those happy with the score achieved during the semester.

Total points are 31, as follows:

- **25 pts: Written Exam**
- **1,5 pts: Bonus Quiz at home**
- **1,5 pts: FSA Game**
- **3 pts: In Class Questions** *(the first three points scored)*
- **Curving points,** *if any*

"NO BONUS"

The "No Bonus" exam is either for (i) those unhappy with the score achieved during the semester, or (ii) for those who do not intend to participate in the continuous learning process.

Total points are 31, as follows:

- **31 pts: Written Exam**
- **Curving points,** *if any*

Further details about Written Exam, Quizzes, FSA Game and ICQ and are in the following slides.

Written exam

Students **must register** to sit for the exam. A student not registered is not allowed to take the exam.

At the end of the term, all students have a written exam. **A part of the exam text will be provided on paper, but all answers shall be entered on the student's laptop** (i.e., no paper), administered through Blackboard Original (i.e., NO Blackboard Ultra) and will use the software Lockdown Browser. The question types can be basically grouped as follows:

- Closed-ended questions (Multiple Choice, "true or false" and/or Multiple Answer questions) which (in the "NO BONUS" exam) are worth approx. 09-13 points.
- Open-ended questions (journal entries or other types of open-ended questions, e.g., exercises, fill in the blank etc.) which (in the "NO BONUS" exam) are worth approx. 18-22 points.

The time available for the No Bonus exam will be more than that for the Yes Bonus exam.

Only basic calculators will be admitted. If a calculator is deemed non-compliant due to advanced functions, it will be taken away until the end of the exam. The student may use the online calculator available in Lockdown Browser.

Detailed "Exam Directions" will be provided in a separate document nearer the exam date.

In-class questions

During the semester, in each class, all professors will be entitled to assign points at their complete discretion, asking random questions (**ICQ**, In Class Questions) anytime during the lesson on the platform Blackboard Ultra at their convenience (the release date and time of the ICQ are not predetermined).

Also, if you are in class with your classmates when the questions are released, you shall answer the ICQ individually (*i.e., you can't talk with anyone during the time available*); though, the assessment is open-book (*i.e., during the time available to answer, you can check your notes, textbook, etc.*).

Broadly speaking, the professors will release 10 ICQ, each worth 0,4 points during the semester. The total points students may earn with ICQ over the semester is up to 4 (FOUR).

Then, if you register to sit for the Yes Bonus exam, up to **3 points** out of 4 from the In-Class Questions points (the first three scored) will be **automatically added to the exam points**. Any fraction of point in excess to 3 and up to 4 will remain unused.

3 points out of 4 is the equivalent of 75% attendance, but in this case, we don't award a "passive approach" (I am physically in class, so I am attending), but rather an active participation (I follow the lectures and I am awarded for answering simple questions on topics explained by the professor).

Bonus Quiz at home

One short quiz is given to the students via Blackboard during the course. This quiz may consist of closed-ended and/or open-ended questions. It lasts approximately 10 minutes, and its main goal is to foster continuous assessment.

The quiz is not in presence. The quiz does not require the use of Lockdown Browser.

The release date of the quiz is scheduled on the following date: **April 23 at 08.00 AM Italian time** and covers up to consolidated financial statement (up to calculation of goodwill, included).

The Quiz will assign (up to) 1,5 points. Hence, if you register to sit for the Yes Bonus exam, up to **1,5 points scored in the Quiz** will be **automatically added to the exam points.**

Detailed "Quiz Directions" will be provided in a separate document nearer the Quiz date.

FSA Game

A number of sessions of the course are dedicated to FSA cases. During one of these sessions, you will be asked to perform a real Financial Statements Analysis. The date in which this session will be held will be announced by the class instructor in the first weeks of the course.

Designed as a game, for part of the session you will be allowed to work in group, with other students, the goal of the activity is to engage you on two real sets of financial statements and show you the practicality of your Accounting studies.

In short, at beginning of the lecture we will announce you the name of the company (one different per each class) and you will then receive questions in Blackboard about the selected company and its financial statements. Then you perform a F/S Analysis of a competitor, and you will be asked to compare them (with questions in Blackboard).

The FSA Game will assign (up to) 1,5 points. Hence, if you register to sit for the Yes Bonus exam, up to **1,5 points scored in the FSA Game** will be **automatically added to the exam points.**

Detailed "FSA Game Directions" will be provided in a separate document nearer the FSA Cases discussion.

Validity of the Quiz, ICQ, Game points

As anticipated, if a student decides to register for the 25-point exam and not for the 31-point exam, the (up to) 6 points of the Quiz, Game and ICQ are automatically assigned.

In other words, these points are not "in addition to" the grade of the exam, but rather, these points are "SUBSTITUTIVE" of exam exercises that would be worth 6 points.

In any possible scenario (absence, failure, withdrawal) occurring in one exam session, the points scored in the Quiz, Game and ICQ are still valid. They may be used in the subsequent sessions up to September 4th (included).

After 04/09/2026, the Bonus Quiz, FSA Game and ICQ points are no longer valid.

Curving points

As occurred during the first semester, during this second semester educational videos will also be released on Blackboard. These consist of a continuation of the Gpack videos as well as some new videos related to another company.

And, as already happened in the first semester, simply watching these videos by predefined deadlines will allow you to accumulate points that will be used in the event of an adjustment (curving) of the final grade. It will be sufficient to click on "confirm" once you have watched the videos in order to obtain the assigned score.

The only difference compared to the first semester is that, in this case, the videos will not be released all at once, but rather progressively as the topics are covered, throughout the months.

Attendance

Students ' attendance is recorded through the “Attendance” procedure.

NOTE: there is NO RELATION between in-class questions and the “Attendance” procedure. “Attendance” is recorded only for statistical purposes and gives NO extra points. There are no differences between the assessment and grading methods for “attending” and “not attending” students.

Obviously, the more a student attends and actively follows the lessons, the more ICQ points will (likely) score. Nevertheless, a student might also attend 1 lesson out of 23 (thus being “not-attending” for Attendance purposes) and get (for example) 0,4 points because he/she was there on the day in which an ICQ was released; conversely, an “attending” student (23 lectures out of 23) might get zero ICQ points if he/she answers all the questions wrong during the semester.

Lectures timetable

Session	Book Chapter	Lecture Content
1	11 Libby	Reporting and Interpreting Owners' Equity
2	11 Libby	Reporting and Interpreting Owners' Equity
3	Appendix A Libby	Reporting and Interpreting investment in other corporations: types of investments
4	Appendix A Libby	Reporting and Interpreting investment in other corporations: types of investments
5	12 Libby	Statement of cash flows
6	12 Libby	Statement of cash flows: indirect method
7	11, 12, App.A Libby	*Review Session Owners'equity, investments, statement of cash flows*
8	Materials on Blackboard	Income taxes
9	Materials on Blackboard	Income taxes.
10	Materials on Blackboard	Income taxes. *Review Session*
11	13 Libby and Slides	Financial Statement Presentation and F/S Analysis
12	13 Libby and Slides	Financial Statement Presentation and F/S Analysis
13	13 Libby and Slides	Financial Statement Presentation and F/S Analysis
14	Materials on Blackboard	Financial Statement Presentation and F/S Analysis.
15	*Set Slides 1*	ESG Reporting. *Business case*
16	*Set Slides 1*	Business Combination (BC): Concept of control and the Consolidation Methods.
17	*Set Slides 1* *Consolidation book*	BC: the steps of the consolidation process
18	*Set Slides 2* *Consolidation book*	BC: preconsolidation adjustments.
19	*Set Slides 2* *Consolidation book*	BC: investment write-off and the Goodwill computation
20	Materials on Blackboard	*FSA GAME*
21	*Set Slides 3* *Consolidation book*	BC: consolidation adjustments - intragroup transactions
22	*Set Slides 3* *Consolidation book*	BC: consolidation adjustments - intragroup transactions (cont'd) - allocation of result
23	*Consolidation book*	*Review session con consolidated F/S*

The order of the lectures dedicated to Review Sessions may differ between classes